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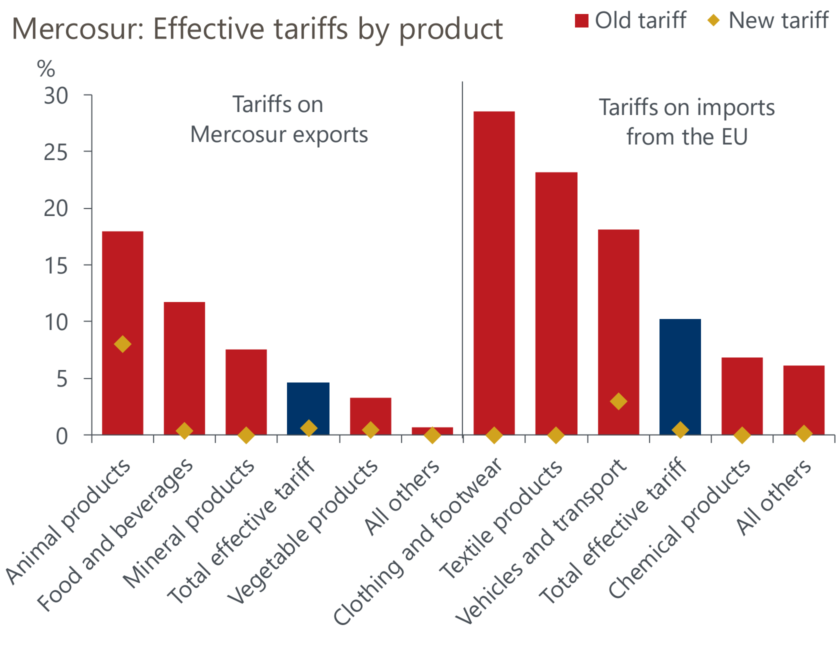
What the EU deal means for Mercosur

- **We think the overall impact of the Mercosur-EU trade deal will be modest, at least in the short term, but certain sectors – particularly foods and minerals – could benefit hugely. Vegetables and foodstuff face sharp tariff reductions, and improved investor certainty could bring much-needed investment into the minerals sector. But we expect terms imposed by the EU to mute the impact of the agreement on some specific animal products and agricultural exports.**
- **The critical minerals industry is a major focus. Mercosur has large reserves of lithium, copper, manganese and aluminium, while the EU brings the technology, capital and expertise to develop them and integrate them into global value chains. This aligns with the EU's objective of securing reliable access to critical minerals. We expect increased investment in the sector to generate long-term productivity gains.**
- **However, Mercosur manufacturers face the threat of increased import competition, particularly in auto parts, vehicles, machinery, and chemicals. The deal threatens to entrench the bloc's reliance on commodity exports and their economic vulnerability to price fluctuations.**
- **The parliaments of Argentina and Uruguay have ratified the agreement, enabling the European Commission to provisionally apply the commercial provisions. However, the deal could still be delayed, amended or, in a worst-case – albeit unlikely – scenario, rejected, depending on ongoing legal and parliamentary proceedings in Europe.**

The EU-Mercosur trade deal has been decades in the making and now appears to have edged over the finish line. Signed but awaiting ratification by the EU parliament and two Mercosur member state legislatures, the association agreement provides for the steady elimination of tariffs over 18 years between the EU and the South American trade bloc (**Chart 1**), which represents 270mn people and 2.6% of global GDP across Argentina, Brazil, Uruguay, and Paraguay. Bolivia's membership is pending – delayed until 2028.

Chart 1: Effective tariffs would fall to near zero by the end of the implementation period



Sources: Oxford Economics, Haver Analytics, WTO. Note: Mercosur aggregate includes Bolivia.

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Bilateral tariffs on over 90% of goods will gradually be eliminated, mostly over 10-15 years, with extended transition periods of up to 18 years for selected products. Market access for sensitive agricultural products – particularly livestock, meat, cereals, and other agricultural products from Mercosur and dairy from the EU – will be managed through tariff-rate quotas, limiting preferential volumes and allowing safeguards if import surges or price fluctuations threaten domestic producers.

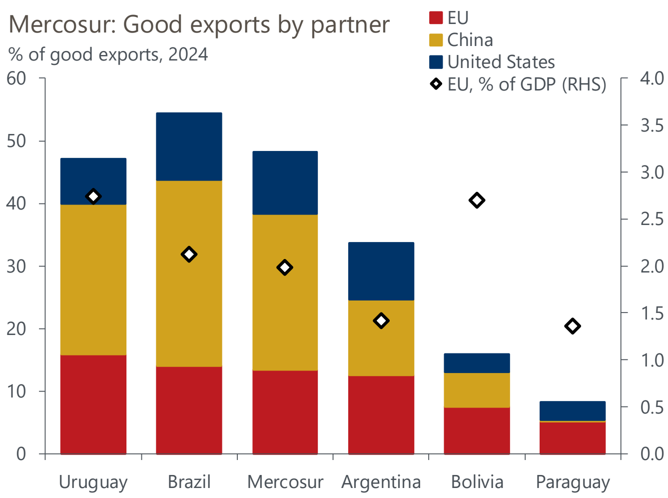
As a result, although tariffs on most Mercosur goods will fall close to zero, duties on animal products will decline only to an average of 8%. Overall, the effective tariff on goods will drop to 0.6% from 4.6% currently. Additional gains should come from reduced non-tariff barriers and a value-based trade framework, including shared rules of origin, simplified customs procedures, and common labour, quality, and environmental standards.

Beyond goods, the agreement will facilitate services trade, notably in telecommunications and finance, improve access to government procurement, and embed labour and environmental commitments. Although we broadly share official estimates of a modest GDP impact of around 0.1%-0.6% after 15 years of implementation, this will be concentrated in a few sectors.

The real gains are in the details, not the big picture

The benefits to Mercosur's exports in categories with significant tariff reductions (animal products, vegetable products, and foodstuffs) will come on top of an already strong base. After China, the EU is the bloc's largest export destination for goods, accounting for roughly 13.5% of total Mercosur goods exports and 2% of the bloc's GDP (**Chart 2**). This is ahead of even the US.

Chart 2: Goods exports to the EU account for around 2% of Mercosur's GDP

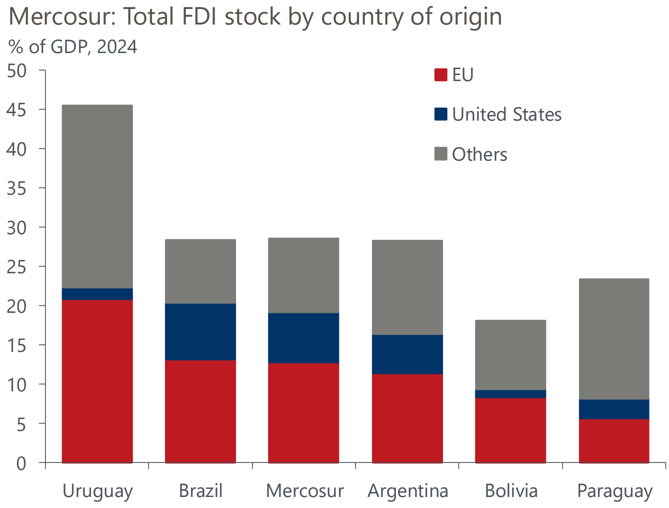


Sources: Oxford Economics, IMF. Note: Mercosur aggregate includes Bolivia.

In the context of heightened US policy uncertainty and its more aggressive tariff policy, the deal will help the Mercosur economies diversify growth opportunities. The EU already holds the largest direct investment stock in the region (**Chart 3**), equivalent to as much as 13% of GDP. The trade agreement could further increase annual foreign direct investment (FDI) by at least 0.4ppts of GDP – from the current 2.9% – according to Brazil's Instituto de Pesquisa Econômica Aplicada. This would be supported by improved investor rights and a more level playing field. Increased investment could particularly benefit high-growth sectors, such as critical minerals.

Nevertheless, political stability and policy certainty remain crucial, as they continue to influence investment prospects in the Mercosur economies.

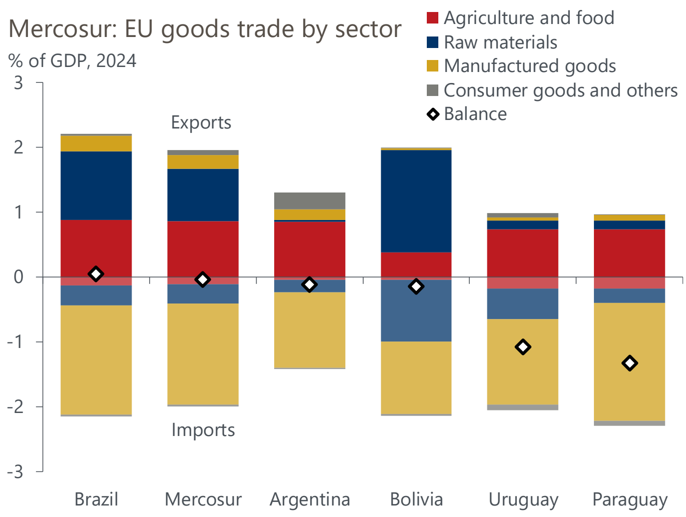
Chart 3: The EU accounts for half of Mercosur's FDI stock



Sources: Oxford Economics, IMF. Note: Mercosur aggregate includes Bolivia.

On the exports side, two main categories – agriculture and food products (particularly foodstuffs and vegetables) and raw materials (primarily mineral products) – account for nearly 85% of Mercosur's total merchandise exports to the EU (**Chart 4**). These sectors will also be the primary beneficiaries once the agreement is fully implemented, given the Mercosur countries' high degree of specialization and inherent comparative advantages, with large mineral deposits across Argentina, Bolivia, and Brazil and highly favourable agricultural conditions in Argentina, Brazil, Paraguay, and Uruguay.

Chart 4: Agricultural and food exports dominate Mercosur's exports to the EU



Sources: Oxford Economics, International Trade Centre. Note: Mercosur aggregate includes Bolivia.

At the country level, mineral products dominate exports from **Bolivia** (mainly zinc ores, gold, and silver) and **Brazil** (mainly crude oil), accounting for roughly 50% and 35% of their respective exports to the EU. Although these products already face low tariffs of around 0.5%, we anticipate the sector will benefit mainly from improved regulatory cooperation, licensing, and investor protection, which would facilitate greater EU investment.

Likewise, the region – particularly Argentina and Brazil – is a major player in the extraction and trade of critical minerals. In 2024, the two countries accounted for around 11% of global lithium production, underscoring their strategic role in global supply chains. Although Bolivia holds substantial proven reserves, structural and institutional constraints are likely to limit its effective participation in international markets. Other minerals attracting European investment include copper, manganese, and rare earth elements.

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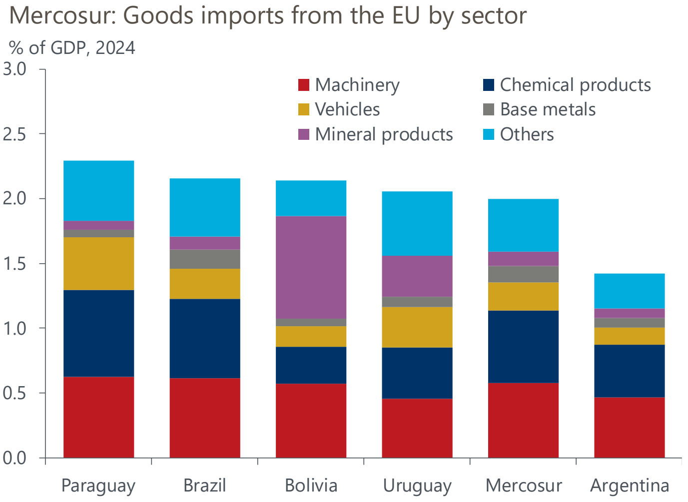
Although the EU-Mercosur trade agreement should support exports of these minerals through the removal of tariffs, we expect increased investment in the sector to be the main driver of long-term productivity gains.

In **Argentina** and **Paraguay**, food products – particularly alcohol, soybean meal, and sugar – are the main export category to the EU. These exports would benefit from the gradual tariff phase-out over 15 years, with duties falling from an average of 12% to near zero. Lower tariffs would improve price competitiveness, making imports from the region more attractive, especially as the EU isn't self-sufficient in products such as rice and soybeans.

Animal products are a key export category for **Uruguay**. However, given the sector's sensitivity, market access would remain limited by a tariff-rate quota on beef. Under the agreement, up to 99,000 tonnes – about 48% of current Mercosur exports to the EU, or 1.5% of total EU production – would face a reduced 7.5% tariff, but volumes above this threshold would remain subject to duties of around 20%.

On the imports front, the EU supplies Mercosur with a more complex, higher value-added, and diversified basket dominated by machinery and chemical products (**Chart 5**). However, we expect the most significant tariff reductions in footwear, clothing, and textiles, where current duties of around 25% are set largely to be eliminated.

Chart 5: The EU exports more complex products to Mercosur



Sources: Oxford Economics, International Trade Centre. Note: Mercosur aggregate includes Bolivia.

The automotive sector is particularly noteworthy. Improved market access and the gradual phasing out of tariffs – as high as 35% on some product lines – over a 15-18-year horizon will increase competitive pressures in the region. However, we expect these dynamics to intensify concerns within Mercosur, as domestic producers will face adjustment challenges given Europe's comparative advantage in higher value-added industries. As a result, the trade deal risks reinforcing the region's dependence on commodity exports if higher value-added sectors cannot compete with European imports benefiting from lower tariffs.

That said, this adjustment pressure could also create incentives for deeper integration into European supply chains, opening up a potential upside scenario. The vehicle, auto parts, and agricultural machinery industries stand out as possible beneficiaries. Although still developing, Brazil and Argentina host relatively advanced automotive ecosystems that could attract investment and technological upgrading. Under a more integrated framework, these hubs could serve domestic demand while also re-exporting to the EU under the new tariff regime.

A similar dynamic could unfold in textiles and food processing. If preferential access is accompanied by stronger compliance with EU standards and targeted investment, Mercosur producers could gradually move up the value chain. This is particularly relevant for Brazil, Argentina, and Uruguay, where sizeable textile and

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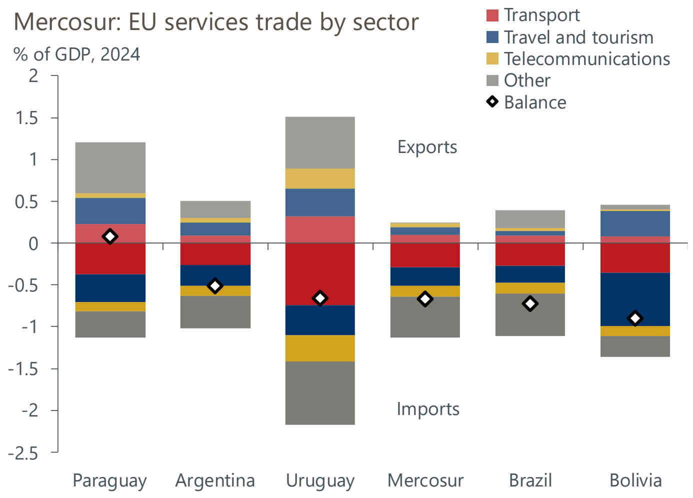
agribusiness sectors remain concentrated in low- to mid-value activities but could transition toward more sophisticated, export-oriented production.

The main benefits will be for the goods trade, but services will receive a boost

Services exports support the EU's overall bilateral trade surplus. In 2024, services imports from the EU accounted for approximately 1.1% of Mercosur's GDP (**Chart 4**) – almost 2.5 times the value of its services exports – primarily in transport, telecommunications, and travel services. We expect the EU-Mercosur agreement to benefit both sides by enhancing supplier stability and certainty and also facilitating easier access through measures such as cross-border movement of service providers.

Chart 6: Mercosur has a services trade deficit with the EU

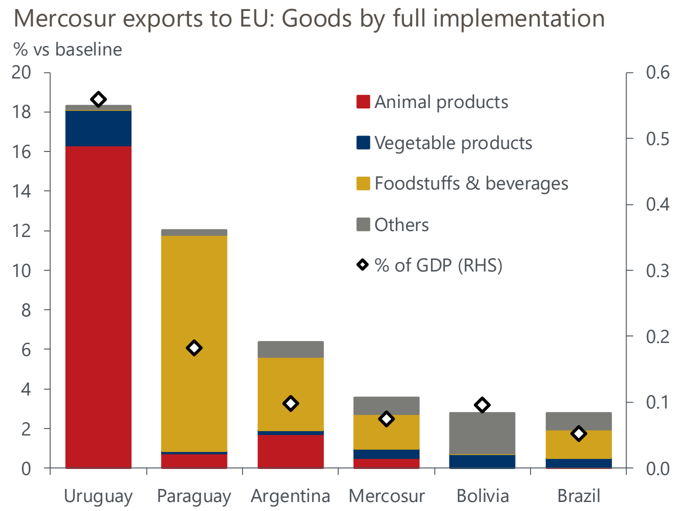


Sources: Oxford Economics, WTO. Note: Mercosur aggregate includes Bolivia.

Why it matters: Long-term effects and implications

We agree with some estimates that point to long-run GDP gains of between 0.1% and 0.6%. In addition, we estimate that product-level tariff reductions, combined with their respective demand elasticities, could lift Mercosur's goods exports to the EU by around 3% above our current baseline by the end of the implementation period (**Chart 5**). However, these gains will be uneven across sectors, with foodstuffs, animal and vegetable products emerging as the main beneficiaries, reflecting heterogeneous tariff structures, varying degrees of trade sensitivity, and differences in initial competitiveness.

Chart 7: The primary sector stands to benefit the most from the agreement



Sources: Oxford Economics, Haver Analytics, WTO. Note: Mercosur aggregate includes Bolivia.

Mercosur can't wait, but the EU moves slowly

The two sides officially signed the trade agreement in January, after decades of negotiations. However, despite its clear economic benefits, the deal continues to face resistance from certain sectors within the EU. Recently, the parliaments of Argentina and Uruguay ratified the agreement, and Brazil and Paraguay will likely follow soon. This has enabled the EU to provisionally apply the commercial provisions, despite the absence of formal ratification by the European Parliament.

Concerns within the EU – particularly regarding agricultural and environmental safeguards – have contributed to political fragmentation and could still result in adjustments to tariff reductions or the introduction of stronger protective measures, such as tighter tariff-rate quotas. Although the agreement is now operational in a limited capacity, granting exporters early access to some benefits, its long-term legal and political outlook in the EU remains uncertain, pending further review by the Parliament, member states, and the European Court of Justice.